

GINSBURG, J., dissenting

culvert, but the only visible border-related features are fences and border-crossing posts that sit atop each side. See *Hernández*, 582 U.S., at 557 (BREYER, J., dissenting). The game Hernández and his friends were playing involved running up the embankment on the United States side, touching the barbed-wire fence, and running back down to the Mexican side. While the game was ongoing, Border Patrol Agent Jesus Mesa, Jr., appeared on his bicycle and detained one of Hernández's friends as he was running down the embankment on the U.S. side. Hernández, who was unarmed, retreated into Mexican territory. Mesa pointed his weapon across the border, "seemingly taking careful aim," and fired at least two shots. App. to Pet. for Cert. 199. At least one of the shots struck Hernández in the face, killing him.

Hernández's parents brought suit under *Bivens*, asserting, *inter alia*, that Mesa had violated their son's Fourth and Fifth Amendment rights. The United States District Court for the Western District of Texas granted Mesa's motion to dismiss. A panel of the United States Court of Appeals for the Fifth Circuit affirmed the dismissal of the parents' Fourth Amendment claim but held that their Fifth Amendment claim could proceed.

The Court of Appeals reheard the case en banc and affirmed the District Court's dismissal of the parents' claims. The full court agreed with the panel that Hernández lacked Fourth Amendment rights. *Hernandez v. United States*, 785 F.3d 117, 119 (2015) (*per curiam*) (citing *United States v. Verdugo-Urquidez*, 494 U.S. 259 (1990)).¹ It declined,

¹ *United States v. Verdugo-Urquidez*, 494 U.S. 259 (1990), is not dispositive of the Fourth Amendment claim in this case. There, the Court held that the Fourth Amendment did not apply to federal agents' warrantless search of a Mexican drug trafficker's home in Mexico. *Id.*, at 262, 274–275. *Verdugo-Urquidez*'s practical concerns, among them, that a warrant issued by a U.S. judge "would be a dead letter outside the United States," *id.*, at 274, do not bear on the complaint filed by Hernández's parents. In contrast to *Verdugo-Urquidez*, it would not be "impracticable" or "anomalous" to subject Mesa's U.S.-based conduct to Fourth Amendment scru-

GINSBURG, J., dissenting

however, to resolve whether Mesa’s conduct violated the Fifth Amendment, concluding that, in any event, Mesa was entitled to qualified immunity. 785 F. 3d, at 120–121.

This Court vacated the Court of Appeals’ judgment and remanded with several instructions. First, the Court directed the Court of Appeals to address the “antecedent” question whether the suit could be premised on *Bivens* in light of the Court’s recent decision in *Ziglar v. Abbasi*, 582 U. S. 120, 126 (2017). *Hernández*, 582 U. S., at 553. The Court also identified error in the Court of Appeals’ qualified-immunity analysis. *Id.*, at 553–554. That analysis had centered on Hernández’s status as an alien with no significant connections to the United States, but it is “undisputed . . . that Hernández’s nationality and the extent of his ties to the United States were unknown to Mesa at the time of the shooting.” *Id.*, at 554. The Court declined to address whether Hernández had stated a valid Fourth Amendment claim. *Ibid.* But see *id.*, at 556–562 (BREYER, J., dissenting).

On remand, the Court of Appeals, again sitting en banc, affirmed the District Court’s dismissal of the suit. The action presented a “new context” for *Bivens*, the court concluded, and special factors counseled its hesitation. 885 F. 3d 811, 816–823 (CA5 2018). Dissenting, Judge Prado (joined by Judge Graves) urged that the majority had been “led astray from the familiar circumstances of this case by empty labels of national security, foreign affairs, and extra-territoriality.” *Id.*, at 825.

II

The plaintiff in *Bivens* alleged that, during an unjustified search of his home, rogue federal law enforcement officers unlawfully seized him, employing “unreasonable force . . . in making the arrest.” 403 U. S., at 389. This Court afforded

tiny. *Boumediene v. Bush*, 553 U. S. 723, 759–760 (2008) (quoting *Verdugo-Urquidez*, 494 U. S., at 278 (Kennedy, J., concurring)).

GINSBURG, J., dissenting

him a federal damages remedy against the federal agents who had disregarded the Fourth Amendment's prohibitions against unreasonable searches and seizures. *Id.*, at 390–397. The Court did so directly under the Constitution, for Congress had provided no statutory claim for relief to redress the wrongful conduct. See *ibid.* “Historically,” the Court observed, “damages have been regarded as the ordinary remedy for an invasion of personal interests in liberty.” *Id.*, at 395. Given the circumstances presented in *Bivens*, the Court found “no special factors counselling hesitation [despite] the absence of affirmative action by Congress.” *Id.*, at 396. Justice Harlan concurred in the judgment, emphasizing that damages were “the only possible remedy for someone in [the plaintiff’s] alleged position.” *Id.*, at 409–410 (injunctions could not “obviate the harm” done, the United States was “immune to suit,” and the exclusionary rule was “irrelevant” for those “innocen[t] of the crime charged”).

The Court has extended *Bivens* twice. See *Davis v. Passman*, 442 U. S. 228 (1979) (sex-discrimination claim against a congressman under the Fifth Amendment’s Due Process Clause); *Carlson v. Green*, 446 U. S. 14 (1980) (inadequate medical treatment claim against federal prison officials under the Eighth Amendment). Though the Court has more recently declined to extend *Bivens* to new contexts, see *Abbasi*, 582 U. S., at 135–136, *Bivens* remains the law of the land in settings in which the decision has been held to apply, see *Abbasi*, 582 U. S., at 134.

In *Abbasi*, former immigration detainees alleged mistreatment and discrimination following the September 11, 2001 terrorist attacks. *Id.*, at 128–130. Invoking *Bivens*, the plaintiffs sued the former Attorney General, Federal Bureau of Investigation Director, and Immigration and Naturalization Service Commissioner, as well as detention-facility wardens, under the Fourth and Fifth Amendments. 582 U. S., at 129–130. Though recognizing that one of the plaintiffs’ *Bivens*

GINSBURG, J., dissenting

claims might be viable, 582 U. S., at 146–149,² the Court held that the other claims could not proceed under *Bivens*. A lawsuit challenging “a high-level executive policy” framed in response to “a major terrorist attack,” the Court observed, bore “little resemblance to” previous *Bivens* settings. 582 U. S., at 140. As considerations counseling hesitation to extend *Bivens* to the setting in *Abbasi*, the Court stressed the impropriety of using *Bivens* to challenge governmental policies, the risk of judicial disruption of national-security decision-making, and the availability of alternative remedies. 582 U. S., at 140–146.

Concerning future invocations of *Bivens*, *Abbasi* provided several guides. On whether a case presents a new *Bivens* context, the Court stated: “If the case is different in a meaningful way from previous *Bivens* cases decided by this Court, then the context is new.” 582 U. S., at 139. And on whether to extend *Bivens* to a new context, *Abbasi* identified as the critical inquiry: Is “the Judiciary . . . well suited, absent congressional action or instruction, to consider and weigh the costs and benefits of allowing a damages action to proceed”? 582 U. S., at 136.

While reining in this Court’s *Bivens* jurisprudence, the Court cautioned in *Abbasi* that its “opinion is not intended to cast doubt on the continued force, or even the necessity, of *Bivens* in the search-and-seizure context in which it arose.” 582 U. S., at 134. “The settled law of *Bivens* in this common and recurrent sphere of law enforcement, and the undoubted reliance upon it as a fixed principle in the law, are powerful reasons to retain it in that sphere.” *Ibid.* The Court also reiterated that suits against “the *individual* official for his or her own acts” deter behavior incompatible with

²The detainees had alleged, *inter alia*, that one of the wardens violated the Fifth Amendment by allowing prison guards to abuse them. *Ziglar v. Abbasi*, 582 U. S. 120, 146 (2017). The Court remanded this claim for the Court of Appeals to conduct a special-factors analysis in the first instance. *Id.*, at 149.

GINSBURG, J., dissenting

constitutional norms, a consideration key to the *Bivens* decision. 582 U.S., at 140 (emphasis added). “[I]ndividual instances of . . . law enforcement overreach,” the Court recognized, are by “their very nature . . . difficult to address *except* by way of damages actions after the fact.” *Id.*, at 144 (emphasis added).

III

Plaintiffs’ *Bivens* action arises in a setting kin to *Bivens* itself: Mesa, plaintiffs allege, acted in disregard of instructions governing his conduct and of Hernández’s constitutional rights. *Abbasi* acknowledged the “fixed principle” that plaintiffs may bring *Bivens* suits against federal law enforcement officers for “seizure[s]” that violate the Fourth Amendment. 582 U.S., at 134; *supra*, at 123.³ Using lethal force against a person who “poses no immediate threat to the officer and no threat to others” surely qualifies as an unreasonable seizure. *Tennessee v. Garner*, 471 U.S. 1, 11 (1985). The complaint states that Mesa engaged in that very conduct; it alleged, specifically, that Hernández was unarmed and posed no threat to Mesa or others. For these reasons, as Mesa acknowledged at oral argument, Hernández’s parents could have maintained a *Bivens* action had the bullet hit Hernández while he was running up or down the United States side of the embankment. See Tr. of Oral Arg. 50.

³ Unlike *Abbasi*, this case does not meaningfully differ from *Bivens v. Six Unknown Fed. Narcotics Agents*, 403 U.S. 388 (1971), with respect to the “rank of the officers involved; the constitutional right at issue; the generality or specificity of the official action; the extent of judicial guidance as to how an officer should respond to the problem or emergency to be confronted; [or] the statutory or other legal mandate under which the officer was operating.” *Abbasi*, 582 U.S., at 140. As differences material to a new-context determination, *Abbasi* also lists: “the risk of disruptive intrusion by the Judiciary into the functioning of other branches . . . or the presence of potential special factors that previous *Bivens* cases did not consider.” *Ibid.* These considerations overlap with the special-factors inquiry to which I turn in Part IV.

GINSBURG, J., dissenting

The only salient difference here: the fortuity that the bullet happened to strike Hernández on the Mexican side of the embankment. But Hernández’s location at the precise moment the bullet landed should not matter one whit. After all, “[t]he purpose of *Bivens* is to deter *the officer*.” *Abbasi*, 582 U. S., at 140 (internal quotation marks omitted); *supra*, at 123–124. And primary conduct constrained by the Fourth Amendment is an *officer’s* unjustified resort to excessive force. See *Garner*, 471 U. S., at 20–22. Mesa’s allegedly unwarranted deployment of deadly force occurred on United States soil. It scarcely makes sense for a remedy trained on deterring rogue officer conduct to turn upon a happenstance subsequent to the conduct—a bullet landing in one half of a culvert, not the other.

Nor would it make sense to deem some culvert locations “new settings” for *Bivens* purposes, but others (those inside the United States), familiar territory. As recounted in JUSTICE BREYER’s dissent earlier in this litigation, the culvert “does not itself contain any physical features of a border”; it consists of wide swaths of “concrete-lined empty space” with fencing on each side. *Hernández*, 582 U. S., at 557. See also *id.*, at 560 (noting “the near irrelevance of [the] midculvert line . . . for most border-related purposes”). It is not asserted that Mesa “knew on which side of the boundary line [his] bullet would land.” *Id.*, at 557.

Finally, although the bullet happened to land on the Mexican side of the culvert, the United States, as in *Bivens*, unquestionably has jurisdiction to prescribe law governing a Border Patrol agent’s conduct. That prescriptive jurisdiction reaches “conduct that . . . takes place within [United States] territory.” Restatement (Third) of Foreign Relations Law of the United States § 402 (1986). The place of a rogue officer’s conduct “has peculiar significance” to choice of the applicable law where, as here, “the primary purpose of the tort rule involved is to deter or punish misconduct.”

GINSBURG, J., dissenting

Restatement (Second) of Conflict of Laws § 145, Comment *e*, p. 420 (1969).⁴

IV

Even accepting, *arguendo*, that the setting in this case could be characterized as “new,” there is still no good reason why Hernández’s parents should face a closed courtroom door. As in *Bivens*, plaintiffs lack recourse to alternative remedies. And not one of the “special factors” the Court identifies weigh any differently based on where a bullet happens to land.

A

It was “of central importance” to the Court’s disposition in *Abbasi* that the case was “[un]like *Bivens* . . . in which ‘it [was] damages or nothing.’” 582 U.S., at 144 (quoting *Bivens*, 403 U.S., at 410 (Harlan, J., concurring in judgment)). Here, as Judge Prado, dissenting below, observed, “[i]t is uncontested that plaintiffs find no alternative relief in Mexican law, state law, the Federal Tort Claims Act (‘FTCA’), the Alien Tort Statute (‘ATS’), or federal criminal law.” 885 F.3d, at 827. While the absence of alternative remedies, standing alone, does not warrant a *Bivens* action, cf. 582 U.S., at 137, it remains a significant consideration under *Abbasi*’s guidelines.

B

The special factors featured by the Court relate, in the main, to foreign policy and national security. But, as suggested earlier, see *supra*, at 124, no policies or policymakers

⁴The Court of Appeals typed the setting of this case “new” because it was unsure whether the asserted constitutional rights extended “to foreign citizens on foreign soil.” 885 F.3d 811, 817 (CA5 2018). But that question is appropriately addressed in deciding this case on the merits. The Court of Appeals’ uncertainty does not mean a claim arises in a “new” context for *Bivens* purposes, for “[t]here will always be at least some uncertainty as to whether[, once factual allegations are tested at trial,] a plaintiff is ultimately going to prevail on his constitutional claims.” Brief for Petitioners 24.

GINSBURG, J., dissenting

are challenged in this case. Plaintiffs target the rogue actions of a rank-and-file law enforcement officer acting in violation of rules controlling his office. See 8 CFR § 287.8(a)(2)(ii) (2019) (limiting use of deadly force). The situation here presented resembles cases *Abbasi* distinguished—cases involving “individual instances of . . . law enforcement overreach.” 582 U. S., at 144.

The Court nevertheless asserts that the instant suit has a “potential effect on foreign relations” because it invites courts “to arbitrate between” the United States and Mexico. *Ante*, at 103, 106. Plaintiffs, however, have brought a civil damages action, no different from one a federal court would entertain had the fatal shot hit Hernández before he reached the Mexican side of the border. True, cross-border shootings spark bilateral discussion, but so too does a range of smuggling and other border-related issues that courts routinely address “concurrently with whatever diplomacy may also be addressing them.” *Rodriguez v. Swartz*, 899 F. 3d 719, 747 (CA9 2018). The Government has identified no deleterious effect on diplomatic negotiations in any case after the Ninth Circuit held that the mother of a boy killed in a cross-border shooting could institute a *Bivens* action. See 899 F. 3d, at 734.

Moreover, the Court, in this case, cannot escape a “potential effect on foreign relations,” *ante*, at 103, by declining to recognize a *Bivens* action. As the Mexican Government alerted the Court: “[R]efus[al] to consider [Hernández’s] parents’ claim on the merits . . . is what has the potential to negatively affect international relations.” Brief for Government of United Mexican States as *Amicus Curiae* 12.

Notably, recognizing a *Bivens* suit here honors our Nation’s international commitments. Article 9(5) of the International Covenant on Civil and Political Rights (ICCPR), Dec. 19, 1966, S. Treaty Doc. No. 95–20, 999 U. N. T. S. 176, provides that “[a]nyone who has been the victim of unlawful arrest or detention shall have an enforceable right to com-

GINSBURG, J., dissenting

pensation.” The United States ratified the ICCPR with the “understandin[g]” that Article 9(5) “require[s] the provision of effective and enforceable mechanisms by which a victim of an unlawful arrest or detention or a miscarriage of justice may seek and, where justified, obtain compensation from either the responsible individual or the appropriate governmental entity.” U. S. Reservations, Declarations, and Understandings, ICCPR, 138 Cong. Rec. 8071 (1992). See also 1676 U. N. T. S. 544 (entered into force Sept. 8, 1992). One fitting mechanism to obtain compensation is a *Bivens* action. See Senate Committee on Foreign Relations, ICCPR, S. Exec. Rep. No. 102–23, p. 15 (1992).

The Court also asserts, as cause for hesitation, “the risk of undermining border security.” *Ante*, at 108. But the Court speaks with generality of the national-security involvement of Border Patrol officers. It does not home in on how a *Bivens* suit for an unjustified killing would in fact undermine security at the border. *Abbasi* cautioned against invocations of national security of this very order: “[N]ational-security concerns must not become a talisman used to ward off inconvenient claims—a ‘label’ used to ‘cover a multitude of sins.’” 582 U. S., at 143 (quoting *Mitchell v. Forsyth*, 472 U. S. 511, 523 (1985)). Instructions regulating Border Patrol agents tell them to guard against deploying unjustified deadly force. See 8 CFR §287.8(a)(2)(ii). Given that instruction, I do not grasp how allowing a *Bivens* action here would intrude upon the political branches’ national-security prerogatives.

Congress, although well aware of the Court’s opinion in *Bivens*, see, e. g., S. Exec. Rep. No. 102–23, at 15, has not endeavored to dislodge the decision. The Court cites several statutes in support of the argument that affording a *Bivens* action to Hernández’s parents would be inconsistent with measures Congress has taken. None of the cited statutes should stand in plaintiffs’ way.

Section 1983 actions, the Court points out, are available only to “person[s] within the jurisdiction” of the United

GINSBURG, J., dissenting

States. 42 U.S.C. § 1983.⁵ That statute has, as its provenance, Reconstruction-era policies aiming to secure to former slaves federal rights and to ward off state and local incursion on those rights. See *Mitchum v. Foster*, 407 U.S. 225, 238–239, and n. 30 (1972). “It is inconceivable that . . . Congress [then] thought about (and deliberately excluded liability for) cross-border incidents involving federal officials.” *Rodriguez*, 899 F.3d, at 742.

The FTCA is also inapposite. Its exclusion of “claim[s] arising in a foreign country,” 28 U.S.C. § 2680(k), reflects “Congress’s ‘unwilling[ness] to subject the United States to liabilities depending upon the laws of a foreign power.’” *Sosa v. Alvarez-Machain*, 542 U.S. 692, 707 (2004) (quoting *United States v. Spelar*, 338 U.S. 217, 221 (1949)). Here, however, the suit arises under U.S. law. Even as the Westfall Act amended the FTCA to make it the “exclusive” remedy for scope-of-employment claims against Government officers, § 2679(b)(1), Congress carved out an exception for *Bivens* suits, § 2679(b)(2)(A) (excepting civil claims “brought for a violation of the Constitution of the United States”). The Torture Victim Protection Act of 1991 applies exclusively to wrongdoers acting under color of *foreign* law. 28 U.S.C. § 1350 Note. The conduct of federal and state officers is outside that Act’s purview.⁶

Nor are concerns sometimes attending application of our law abroad implicated in this case. True, the Court has ap-

⁵Title 42 U.S.C. § 1983 reads: “Every person who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, any citizen of the United States or other person within the jurisdiction thereof to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress.”

⁶The Torture Victim Protection Act sought to codify a Second Circuit opinion recognizing “a right of action against foreign torturers” under the Alien Tort Claims Act. H. R. Rep. No. 102–367, pp. 3–4 (1991) (discussing *Filartiga v. Pena-Irala*, 630 F.2d 876 (CA2 1980)). “Domestic officials were not at issue.” *Rodriguez v. Swartz*, 899 F.3d 719, 743 (CA9 2018).

GINSBURG, J., dissenting

plied a “presumption against extraterritorial application” to statutes that do not make plain their governance beyond U. S. borders. *Kiobel v. Royal Dutch Petroleum Co.*, 569 U. S. 108, 115 (2013). But plaintiffs in this case allege a tort stemming from stateside conduct. Cf. *id.*, at 124–125 (if conduct at issue “touch[es] and concern[s] the territory of the United States . . . with sufficient force,” the presumption against extraterritoriality is displaced). This case scarcely resembles those in which applying “U. S. law . . . to conduct in foreign countries” might spark “international discord.” *RJR Nabisco, Inc. v. European Community*, 579 U. S. 325, 335 (2016). Quite the opposite. Withholding a *Bivens* suit here threatens to exacerbate bilateral relations, see *supra*, at 127, and in no way fosters our international commitments, see *supra*, at 127–128.

V

Regrettably, the death of Hernández is not an isolated incident. Cf. *Rodriguez*, 899 F. 3d, at 727 (complaint alleged that border agent fired 14 to 30 bullets across the border, killing a 16-year-old boy); Brief for Immigrant and Civil Rights Organizations as *Amici Curiae* 26–28 (describing various incidents of allegedly unconstitutional conduct by border and immigration officers); Brief for Border Network for Human Rights et al. as *Amici Curiae* 8–15 (listing individuals killed by border agents). One report reviewed over 800 complaints of alleged physical, verbal, or sexual abuse lodged against Border Patrol agents between 2009 and 2012; in 97% of the complaints resulting in formal decisions, no action was taken. D. Martínez, G. Cantor, & W. Ewing, No Action Taken: Lack of CBP Accountability in Responding to Complaints of Abuse, American Immigration Council 1–8 (2014), americanimmigrationcouncil.org/sites/default/files/research/No%20Action%20Taken_Final.pdf. According to *amici* former Customs and Border Protection officials, “the United States has not extradited a Border Patrol agent to stand trial

GINSBURG, J., dissenting

in Mexico, and to [*amici's*] knowledge has itself prosecuted only one agent in a cross-border shooting.” Brief for Former Officials of U. S. Customs and Border Protection Agency as *Amici Curiae* 4. These *amici* warn that, “[w]ithout the possibility of civil liability, the unlikely prospect of discipline or criminal prosecution will not provide a meaningful deterrent to abuse at the border.” *Ibid.* In short, it is all too apparent that to redress injuries like the one suffered here, it is *Bivens* or nothing.

* * *

I resist the conclusion that “nothing” is the answer required in this case. I would reverse the Fifth Circuit’s judgment and hold that plaintiffs can sue Mesa in federal court for violating their son’s Fourth and Fifth Amendment rights.

Syllabus

RODRIGUEZ, AS CHAPTER 7 TRUSTEE FOR THE BANK-
RUPTCY ESTATE OF UNITED WESTERN BANCORP,
INC. *v.* FEDERAL DEPOSIT INSURANCE COR-
PORATION, AS RECEIVER FOR UNITED
WESTERN BANK

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE TENTH CIRCUIT

No. 18–1269. Argued December 3, 2019—Decided February 25, 2020

The Internal Revenue Service (IRS) allows an affiliated group of corporations to file a consolidated federal return. See 26 U.S.C. § 1501. The IRS issues any refund as a single payment to the group’s designated agent. The tax regulations say very little about how the group members should then distribute that refund among themselves. If a dispute arises and the members have no tax allocation agreement in place, federal courts normally turn to state law to resolve the distribution question. Some courts, however, have crafted their own federal common law rule, known as the *Bob Richards* rule. See *In re Bob Richards Chrysler-Plymouth Corp.*, 473 F.2d 262. The rule initially provided that, in the absence of an agreement, a refund belongs to the group member responsible for the losses that led to it. But it has since evolved, in some jurisdictions, into a general rule that is always followed unless an agreement unambiguously specifies a different result. Soon after United Western Bank suffered huge losses, its parent, United Western Bancorp, Inc., was forced into bankruptcy. When the IRS issued the group a \$4 million tax refund, the bank’s receiver, respondent Federal Deposit Insurance Corporation (FDIC), and the parent corporation’s bankruptcy trustee, petitioner Simon Rodriguez, each sought to claim it. The dispute wound its way through a bankruptcy court and a federal district court before the Tenth Circuit examined the parties’ tax allocation agreement, applied the more expansive version of *Bob Richards*, and ruled for the FDIC.

Held: The *Bob Richards* rule is not a legitimate exercise of federal common lawmaking. Federal judges may appropriately craft the rule of decision in only limited areas, *Sosa v. Alvarez-Machain*, 542 U.S. 692, 729, and claiming a new area is subject to strict conditions. One of the most basic is that federal common lawmaking must be “‘necessary to protect uniquely federal interests.’” *Texas Industries, Inc. v. Radcliff Materials, Inc.*, 451 U.S. 630, 640. The *Bob Richards* rule has not sat-

Opinion of the Court

ified this condition. The federal courts applying and extending *Bob Richards* have not pointed to any significant federal interest sufficient to support the *Bob Richards* rule. Nor have the parties in this case. State law is well equipped to handle disputes involving corporate property rights, even in cases, like this one, that involve federal bankruptcy and a tax dispute. Whether this case might yield the same or a different result without *Bob Richards* is a matter the court of appeals may take up on remand. Pp. 136–138.

914 F. 3d 1262, vacated and remanded.

GORSUCH, J., delivered the opinion for a unanimous Court.

Mitchell P. Reich argued the cause for petitioner. With him on the briefs were *Neal Kumar Katyal*, *Colleen E. Roh Sinzduk*, *Thomas P. Schmidt*, and *Mark E. Haynes*.

Michael R. Huston argued the cause for respondent. With him on the brief were *Solicitor General Francisco*, *Assistant Attorney General Hunt*, *Deputy Solicitor General Stewart*, *Colleen J. Boles*, and *J. Scott Watson*.

JUSTICE GORSUCH delivered the opinion of the Court.

This case grows from a fight over a tax refund. But the question we face isn't who gets the money, only how to decide the dispute. Should federal courts rely on state law, together with any applicable federal rules, or should they devise their own federal common law test? To ask the question is nearly to answer it. The cases in which federal courts may engage in common lawmaking are few and far between. This is one of the cases that lie between.

The trouble here started when the United Western Bank hit hard times, entered receivership, and the Federal Deposit Insurance Corporation took the reins. Not long after that, the bank's parent, United Western Bancorp, Inc., faced its own problems and was forced into bankruptcy, led now by a trustee, Simon Rodriguez. When the Internal Revenue Service issued a \$4 million tax refund, each of these newly assigned caretakers understandably sought to claim the money. Unable to resolve their differences, they took the

Opinion of the Court

matter to court. The case wound its way through a bankruptcy court and a federal district court before eventually landing in the Tenth Circuit. At the end of it all, the court of appeals ruled for the FDIC, as receiver for the subsidiary bank, rather than for Mr. Rodriguez, as trustee for the corporate parent.

How could two separate corporate entities both claim entitlement to a single tax refund? For many years, the IRS has allowed an affiliated group of corporations to file a consolidated federal return. See 26 U.S.C. § 1501. This serves as a convenience for the government and taxpayers alike. Unsurprisingly, though, a corporate group seeking to file a single return must comply with a host of regulations. See 26 U.S.C. § 1502; 26 CFR § 1.1502-0 *et seq.* (2019). These regulations are pretty punctilious about ensuring the government gets all the taxes due from corporate group members. See, *e.g.*, § 1.1502-6. But when it comes to the distribution of refunds, the regulations say considerably less. They describe how the IRS will pay the group's designated agent a single refund. See § 1.1502-77(d)(5). And they warn that the IRS's payment discharges the government's refund liability to all group members. *Ibid.* But how should the members distribute the money among themselves once the government sends it to their designated agent? On that, federal law says little.

To fill the gap, many corporate groups have developed "tax allocation agreements." These agreements usually specify what share of a group's tax liability each member will pay, along with the share of any tax refund each member will receive. But what if there is no tax allocation agreement? Or what if the group members dispute the meaning of the terms found in their agreement? Normally, courts would turn to state law to resolve questions like these. State law is replete with rules readymade for such tasks—rules for interpreting contracts, creating equitable trusts, avoiding unjust enrichment, and much more.

Opinion of the Court

Some federal courts, however, have charted a different course. They have crafted their own federal common law rule—one known to those who practice in the area as the *Bob Richards* rule, so named for the Ninth Circuit case from which it grew: *In re Bob Richards Chrysler-Plymouth Corp.*, 473 F. 2d 262 (1973). As initially conceived, the *Bob Richards* rule provided that, in the absence of a tax allocation agreement, a refund belongs to the group member responsible for the losses that led to it. See *id.*, at 265. With the passage of time, though, *Bob Richards* evolved. Now, in some jurisdictions, *Bob Richards* doesn’t just supply a stop-gap rule for situations when group members lack an allocation agreement. It represents a general rule always to be followed unless the parties’ tax allocation agreement *unambiguously* specifies a different result.

At the urging of the FDIC and consistent with circuit precedent, the Tenth Circuit employed this more expansive version of *Bob Richards* in the case now before us. Because the parties did have a tax allocation agreement, the court of appeals explained, the question it faced was whether the agreement unambiguously deviated from *Bob Richards*’s default rule. *In re United Western Bancorp, Inc.*, 914 F. 3d 1262, 1269–1270 (2019). After laying out this “analytical framework” for decision, *id.*, at 1269 (emphasis deleted), the court proceeded to hold that the FDIC, as receiver for the bank, owned the tax refund.

Not all circuits, however, follow *Bob Richards*. The Sixth Circuit, for example, has observed that “federal common law constitutes an unusual exercise of lawmaking which should be indulged . . . only when there is a significant conflict between some federal policy or interest and the use of state law.” *FDIC v. AmFin Financial Corp.*, 757 F. 3d 530, 535 (2014) (internal quotation marks omitted). In the Sixth Circuit’s view, courts employing *Bob Richards* have simply “bypassed th[is] threshold question.” 757 F. 3d, at 536. And any fair examination of it, the Sixth Circuit has submitted,

Opinion of the Court

reveals no conflict that might justify resort to federal common law. *Ibid.* We took this case to decide *Bob Richards's* fate. 588 U.S. 919 (2019).

Judicial lawmaking in the form of federal common law plays a necessarily modest role under a Constitution that vests the federal government's "legislative Powers" in Congress and reserves most other regulatory authority to the States. See Art. I, § 1; Amdt. 10. As this Court has put it, there is "no federal general common law." *Erie R. Co. v. Tompkins*, 304 U.S. 64, 78 (1938). Instead, only limited areas exist in which federal judges may appropriately craft the rule of decision. *Sosa v. Alvarez-Machain*, 542 U.S. 692, 729 (2004). These areas have included admiralty disputes and certain controversies between States. See, e.g., *Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23 (2004); *Hinderlider v. La Plata River & Cherry Creek Ditch Co.*, 304 U.S. 92, 110 (1938). In contexts like these, federal common law often plays an important role. But before federal judges may claim a new area for common lawmaking, strict conditions must be satisfied. The Sixth Circuit correctly identified one of the most basic: In the absence of congressional authorization, common lawmaking must be "'necessary to protect uniquely federal interests.'" *Texas Industries, Inc. v. Radcliff Materials, Inc.*, 451 U.S. 630, 640 (1981) (quoting *Banco Nacional de Cuba v. Sabbatino*, 376 U.S. 398, 426 (1964)).

Nothing like that exists here. The federal government may have an interest in regulating how it *receives* taxes from corporate groups. See, e.g., 26 CFR §§ 1.1502-6, -12, -13. The government also may have an interest in regulating the *delivery* of any tax refund due a corporate group. For example and as we've seen, the government may wish to ensure that others in the group have no recourse against federal coffers once it pays the group's designated agent. See § 1.1502-77(d)(5). But what unique interest could the federal government have in determining how a consolidated cor-

Opinion of the Court

porate tax refund, once paid to a designated agent, is *distributed* among group members?

The Sixth Circuit correctly observed that *Bob Richards* offered no answer—it just bypassed the question. Nor have the courts applying and extending *Bob Richards* provided satisfactory answers of their own. Even the FDIC, which advocated for the *Bob Richards* rule in the Tenth Circuit, failed to point that court to any unique federal interest the rule might protect. In this Court, the FDIC, now represented by the Solicitor General, has gone a step further, expressly conceding that federal courts “should not apply a federal common law rule to . . . put a thumb on . . . the scale” when deciding which corporate group member owns some or all of a consolidated refund. Tr. of Oral Arg. 40; see also *id.*, at 32–36.

Understandably too. Corporations are generally “creatures of state law,” *Cort v. Ash*, 422 U. S. 66, 84 (1975), and state law is well equipped to handle disputes involving corporate property rights. That cases like the one now before us happen to involve corporate property rights in the context of a federal bankruptcy and a tax dispute doesn’t change much. As this Court has long recognized, “Congress has generally left the determination of property rights in the assets of a bankrupt’s estate to state law.” *Butner v. United States*, 440 U. S. 48, 54 (1979). So too with the Internal Revenue Code—it generally “‘creates no property rights.’” *United States v. National Bank of Commerce*, 472 U. S. 713, 722 (1985) (quoting *United States v. Bess*, 357 U. S. 51, 55 (1958)). If special exceptions to these usual rules sometimes might be warranted, no one has explained why the distribution of a consolidated corporate tax refund should be among them.

Even if the Tenth Circuit’s reliance on *Bob Richards*’s analytical framework was mistaken, the FDIC suggests we might affirm the court’s judgment in this case anyway. The FDIC points out that the court of appeals proceeded to con-

Opinion of the Court

sult applicable state law—and the FDIC assures us its result follows naturally from state law. The FDIC also suggests that the IRS regulations concerning the appointment and duties of a corporate group’s agent found in 26 CFR §§ 1.1502–77(a) and (d) tend to support the court of appeals’s judgment. Unsurprisingly, Mr. Rodriguez disagrees with these assessments and contends that, absent *Bob Richards*, the Tenth Circuit would have reached a different outcome.

Who is right about all this we do not decide. Some, maybe many, cases will come out the same way under state law or *Bob Richards*. But we did not take this case to decide how this case should be resolved under state law or to determine how IRS regulations might interact with state law. We took this case only to underscore the care federal courts should exercise before taking up an invitation to try their hand at common lawmaking. *Bob Richards* made the mistake of moving too quickly past important threshold questions at the heart of our separation of powers. It supplies no rule of decision, only a cautionary tale. Whether this case might yield the same or a different result without *Bob Richards* is a matter the court of appeals may consider on remand. See, e. g., *Conkright v. Frommert*, 559 U. S. 506, 521–522 (2010); *Travelers Casualty & Surety Co. of America v. Pacific Gas & Elec. Co.*, 549 U. S. 443, 455–456 (2007); *Gonzales v. Duenas-Alvarez*, 549 U. S. 183, 194 (2007).

The judgment of the court of appeals is vacated, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

Syllabus

McKINNEY *v.* ARIZONA

CERTIORARI TO THE SUPREME COURT OF ARIZONA

No. 18–1109. Argued December 11, 2019—Decided February 25, 2020

An Arizona jury convicted petitioner James McKinney of two counts of first-degree murder. The trial judge found aggravating circumstances for both murders, weighed the aggravating and mitigating circumstances, and sentenced McKinney to death. Nearly 20 years later, the Ninth Circuit held on habeas review that the Arizona courts violated *Eddings v. Oklahoma*, 455 U. S. 104, by failing to properly consider as relevant mitigating evidence McKinney’s posttraumatic stress disorder. McKinney’s case then returned to the Arizona Supreme Court. McKinney argued that he was entitled to a jury resentencing, but the Arizona Supreme Court itself reweighed the aggravating and mitigating circumstances, as permitted by *Clemons v. Mississippi*, 494 U. S. 738, and upheld both death sentences.

Held: A *Clemons* reweighing is a permissible remedy for an *Eddings* error, and when an *Eddings* error is found on collateral review, a state appellate court may conduct a *Clemons* reweighing on collateral review. McKinney’s argument that a jury must resentence him does not square with *Clemons*, where the Court held that a reweighing of the aggravating and mitigating evidence may be conducted by an appellate court. 494 U. S., at 741. Because *Clemons* involved an improperly considered aggravating circumstance, McKinney maintains that it is inapposite here, where the case involves an improperly ignored mitigating circumstance. *Clemons*, however, did not depend on any unique effect of aggravators as distinct from mitigators. For purposes of appellate reweighing, there is no meaningful difference between subtracting an aggravator from one side of the scale and adding a mitigator to the other side. McKinney also argues that *Clemons* is no longer good law in the wake of *Ring v. Arizona*, 536 U. S. 584, and *Hurst v. Florida*, 577 U. S. 92, where the Court held that a jury must find the aggravating circumstance that makes the defendant death eligible. But that does not mean that a jury is constitutionally required to weigh the aggravating and mitigating circumstances or to make the ultimate sentencing decision within the relevant sentencing range. See *Apprendi v. New Jersey*, 530 U. S. 466, 481. McKinney notes that the Arizona trial court, not the jury, made the initial aggravating circumstance finding that made him eligible for the death penalty. But McKinney’s case became final on direct review long before *Ring* and *Hurst*, which do not apply